trade and retail trade; multi-brand and single-brand stores; brick-and-mortar trade and commerce and e-commerce; and platform e-commerce companies and own product inventory/direct selling e-commerce companies. There are also numerous conditionalities on local content, minimum investment amount, export obligation, localities where the business can be established and extent of foreign ownership. The policy is quite complex.

For no good reason, DPIIT decided to take over the mantle of controlling digital aspects of e-commerce as well, notably data. In February 2019, it announced a Draft National E-Commerce Policy with the theme, 'India's Data for India's Development'. It is hardly an e-commerce policy. Rather, it is clearly a trade data control and regulation policy. It aims to 'regulate cross-border data flow'; lays down 'conditions to be adhered to by business entities which have access to sensitive data of Indian users stored abroad'; bans 'sharing of such data with third-party entities, even with customer consent'; mandates 'e-commerce companies to ensure that all product shipments from other countries are channelized through the Customs route'; and proposes creation of industrial standards for smart devices and IoT (Internet of Things) equipment.

The proposed e-commerce policy transgresses the mandate of MEITY as data regulation, irrespective of sector, is its domain. Excessively restrictive, it amounts to the worst form of protectionism in trade and commerce that India successfully demolished in 1991.

The inherent contractions and excessive protectionism proposed in the policy have not allowed it to progress much. The government has indicated that it is working on another draft, which is still in the works.

There is absolutely no need for the government to frame an e-commerce policy to regulate data and digitalization of trade and commerce services. The policy draft should simply be scrapped.